

years to practice living on a lot less, lowering your expectations, and cultivating disciplined spending habits.

Money Mistake: You're Carrying Debt into Retirement

THE FIX: RETIRE DEBT BEFORE YOU RETIRE

If you're heading toward retirement with debt, now's the time to budget like you've never budgeted before. I mean it. You need a black-and-white plan, and you might even need help. Start by following my 90-Day Number plan at the beginning of this book. After you've learned about your personal spending habits and needs, get an advisor, and if you can't afford that, consult a friend who's done everything right—and do what that friend did.

Don't retire until you can afford it. Throw out your plan for freedom at fifty-five or even sixty-five. If you have debt, you need your job, so you have to do everything in your power to keep it. Get a part-time job, too, while you're at it and while you're still spry enough to handle it. I'm not talking about heavy labor. Work the cash register at your local garden center, tutor local kids, or serve coffee. And if you're providing the gift of child care for your beloved grandchildren, you deserve to be getting paid for that.

Refinance your mortgage. If you have been paying off a twenty-five-year mortgage, making \$1,000 monthly payments at 4 percent, consider shortening it to fifteen and pay higher rates and monthly payments. Do that while you're working, while you're at your full earning potential. You can also consider a reverse mortgage. I'm not a big fan—there are a lot of fees and hidden costs—but it frees up some equity to tackle that debt. But you'd probably be better off selling the house, paying off the debt, and renting elsewhere.

Also, don't remarry. That said, if you do plan to couple up and live together, make sure, along with a division of money and belongings, to include long-term care plans in your cohabitation agreement. If there are adult children in the mix, also make sure there's an up-to-date will